Digital Offers a Way Out for Online Logistics Cos

Post-demonetisation, startups are latching on to the digital to solve truckers' cash woes

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Mumbai: The Ministry of Road Transport and Highways extended the exemption of toll collection on national highways until the midnight of November 18 – a move that has definitely brought a much-needed respite to scores of logistics players who have been left high and dry in the wake of the demonetisation drive.

Online logistics management marketplaces are latching on to the digital medium with a new vigour to alleviate truckers' cash woes. According to logistics firms and transport operators, around 90% of 3 million trucks on India's roadways have been stuck as petrol pumps, state highway toll collection outposts and small eateries have been refusing cash payments in denominations of ₹500 and ₹1,000 as reported by **ET** on Monday.

CHANAKYA HRIDAYA
Cofounder, BlackBuck

As soon as freight/trip payments are transferred into (truckers') accounts, a part gets transferred into the drivers' fuel card immediately. None of our trucks will stop due to cash shortage for fuel

Inter-city logistics players such as Rivigo and BlackBuck are hastening the enabling of RFID tag (radio-frequency identification) for trucks on their platform to enable electronic transfer of money at toll plazas. BlackBuck is using the extended time on toll exemption to bring more truckers under the electronic system.

"If toll was not exempt, the issue may have been larger. Electronic collection of toll is the best thing to happen to highways since they won't be clogged anymore. This move should push vehicles to use FASTag much more," said Deepak Garg, CEO of Rivigo which has adopted FASTag for 70% of its toll payments. With over 40% of the freight payment accounting for fuel costs, these logistics firms have synced fuel cards available on their platform, along with their account-linked prepaid cards that are being loaded with a fixed amount (₹2,000) on a per day basis. "As soon as freight/trip payments are transferred into (truckers') accounts, a part gets transferred into the drivers' fuel card immediately. None of our trucks will stop due to cash shortage for fuel," said Chanakya Hridaya, cofounder of Tiger Global and Accel Partners-backed BlackBuck.

BlackBuck, which had tied up with Janalakshmi Financial Services and YES Bank, has widened its partner base just last week and has brought on board M2P (a digital payment solutions company) and Axis Bank recently, to enable faster prepaid card availability for truckers on its platform. The cards work as credit/debit cards even at eateries with POS devices. Hridaya said that with trucks being on the move and having access to ATMs beyond the metros (where crowds are floating), the cash strain for truckers on their platform isn't as much as for those who are purely cash-run.

INDUSTRIAL SERVICES

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Startups See a Blockchain Technology in Everything

Cos are using it in crucial areas like KYC verification & security

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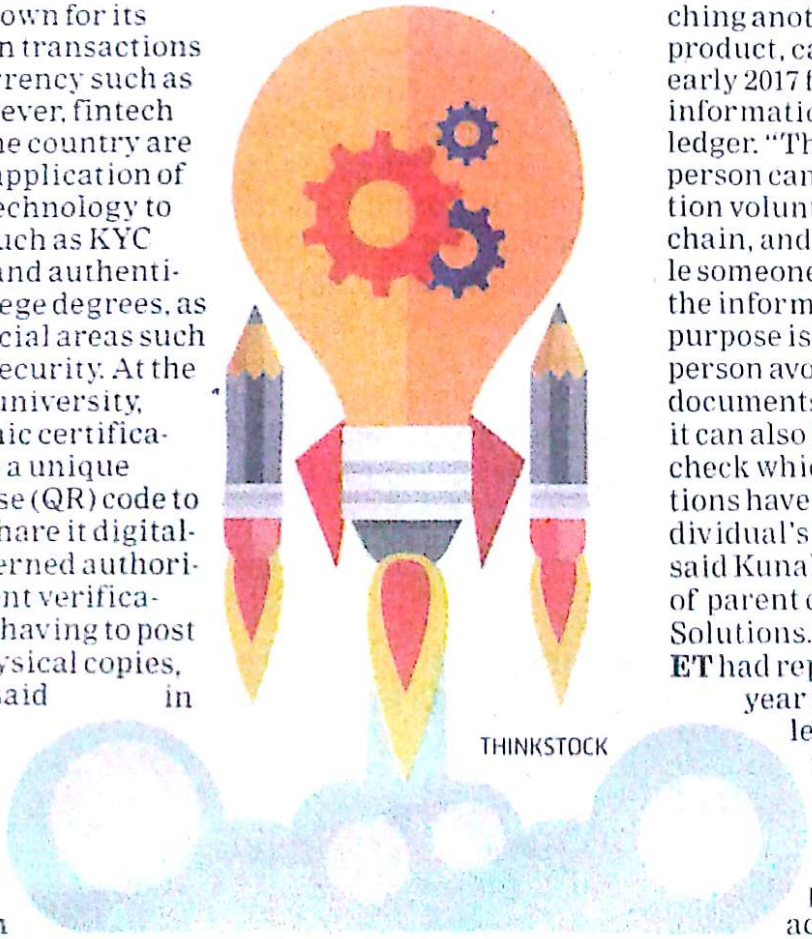
Bengaluru: Last week, Chandigarh-based Chitkara University announced that it had started adopting the blockchain technology to issue e-documents for students. The move was guided through HashDegree, a blockchain technology-enabled solution from HashCove, a recently-created subsidiary of Chandigarh-based fintech startup uTrade Solutions.

The startup had started using blockchain earlier this year for stock trade settlement. Blockchain is a distributed digital ledger with cryptographic safeguards, which has been more popularly known for its application in transactions of digital currency such as Bitcoin. However, fintech startups in the country are pushing the application of blockchain technology to other areas such as KYC verification and authentication of college degrees, as well as in crucial areas such as financial security. At the Chandigarh university, every academic certification will have a unique quick response (QR) code to let students share it digitally to the concerned authority for document verification, without having to post or courier physical copies, the institute said in a statement.

Blockchain technology can also help avoid financial security breaches such as the recent breach of data following a reported malware breach at an ATM, according to Kumar Abhishek, founder of proximity payment solution-provider ToneTag, which rolled out its proprietary technology for point-of-sale machines last month and is also tying up with a few public sector banks to use the tech at ATMs that will be live in a few months.

"We can pre-detect fraud through blockchain even before it can take place. When our software is set up at a machine, it can track the hardware sector and detect injection of malware. If a merchant uses a POS machine with malware, with ToneTag, the metadata including payment data and security data that is transferred to an 'envelope' in the blockchain also carries information whether the hardware was compromised," Abhishek explained. He said the technology is expected to be used at 25,000 card-swiping machines by December.



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WHAT IS IT

Blockchain is a distributed digital ledger with cryptographic safeguards, which can help avoid security issues

HashCove will be launching another blockchain product, called KYChain, by early 2017 for storing KYC information on the open ledger. "The idea is that a person can store information voluntarily on blockchain, and unless you enable someone, no one can see the information. While one purpose is that it helps a person avoid uploading KYC documents multiple times, it can also help institutions check which other institutions have verified an individual's KYC documents," said Kunal Nandwani, CEO of parent company uTrade Solutions.

ET had reported earlier this year that peer-to-peer lending startups were also considering the use of blockchain for more transparency and accountability.

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